

CAPSTONE PROJECT BRIEF

Project Title

Non-Corporate Entity Financial Statement Preparation Application

1. Problem Statement

Preparation of financial statements for non-corporate entities generally involves importing Trial Balance data, classifying ledger accounts under appropriate financial statement heads, reviewing such classifications and preparing the final Balance Sheet and Statement of Profit and Loss.

In practice, this process is often carried out manually through Excel sheets and repetitive linkages. This may result in substantial time consumption, inconsistent classification, manual errors and difficulty in maintaining a standardised preparation and review process.

The project was therefore conceptualised to develop a desktop-based application capable of converting an Excel-based Trial Balance into structured financial statements for non-corporate entities in accordance with the applicable presentation requirements and guidance prescribed by ICAI.

2. Objective of the Project

The objective of the application is to automate and streamline financial statement preparation while retaining professional judgement over classification of ledger accounts.

The application is designed to:

- Import Trial Balance data directly from Excel;
- Classify ledger balances under appropriate financial statement heads;
- Allow users to review and modify classifications;
- Prepare structured financial statements;
- Reduce repetitive manual work and errors;
- Standardise the preparation process; and
- Provide user-wise access and role-based controls.

3. Key Functionalities

Trial Balance Import

The user can import the Trial Balance of an entity directly in Excel format. Ledger-wise debit and credit balances are processed by the application without requiring manual re-entry of the complete accounting data.

Ledger Classification

Imported ledger accounts are mapped to appropriate financial statement heads such as Capital, Borrowings, Current and Non-Current Liabilities, Fixed Assets, Investments, Inventories, Trade Receivables, Cash and Bank Balances, Revenue, Other Income, Employee Costs, Finance Costs, Depreciation and Other Expenses.

Modification of Classification Heads

A major feature of the application is the ability to change the classification assigned to any ledger. Where the initial classification is not considered appropriate, the user can reclassify the ledger under the correct financial statement head or sub-head.

This ensures that automation supports, rather than replaces, professional accounting judgement.

Financial Statement Preparation

After completion of the classification process, the application generates financial statements on the basis of the final ledger mapping.

The basic workflow is:

Excel Trial Balance → Ledger Classification → Review / Modification → Financial Statement Generation

User ID and Role Management

The application provides for creation of multiple User IDs with different levels of access. Roles can be assigned to users depending upon their responsibilities, such as:

- Administrator;
- Preparer;
- Reviewer / Approver; and
- View-Only User.

This feature supports segregation of duties and improves internal control in a multi-user professional office environment.

4. Development Approach and Use of AI

The application was developed using an **AI-assisted software development approach**.

The functional requirements of the application were first identified from the perspective of actual professional usage. Detailed prompts describing the required workflow, features, controls and user interface were then developed and used in **Google AI Studio** for creation and refinement of the application.

The developed application was subsequently converted into an executable desktop application through **Antigravity**, enabling the software to operate through an **.exe file** without requiring the end user to interact with the underlying source code.

Artificial Intelligence assisted in:

- Converting professional requirements into application logic;
- Creating and refining the user interface;
- Developing Trial Balance import and processing logic;
- Building ledger classification workflows;
- Incorporating editable classification functionality;
- Creating role-based user access; and
- Troubleshooting and refining the application.

5. Benefits of the Application

The application provides the following practical benefits:

- **Time Saving:** Reduces manual effort involved in preparing financial statements.
- **Reduced Data Entry:** Trial Balance is imported directly from Excel.
- **Standardisation:** Promotes consistency in financial statement preparation.
- **Accuracy:** Reduces errors arising from repetitive manual processing.
- **Flexibility:** Allows ledger classifications to be modified wherever required.
- **Professional Control:** Final classification remains subject to professional review.
- **Improved Review Process:** Role-based access facilitates preparation and review by different users.
- **Ease of Use:** The executable desktop format allows the application to be used without direct programming knowledge.

6. Practical Use Case

For an entity having a Trial Balance containing several hundred ledger accounts, the conventional process may require each ledger to be manually identified, classified and linked with the relevant financial statement head.

Using the developed application, the user can:

1. Import the Trial Balance from Excel;
2. Review the ledger classifications;
3. Modify incorrect or inappropriate classifications;
4. Generate the financial statements; and
5. Permit an authorised user or reviewer to review the final output.

The application therefore converts a largely manual process into a structured and technology-enabled workflow.

7. Learning Outcome and Future Scope

The project provided practical exposure to the use of Generative AI for developing a customised professional application. It demonstrated how a functional accounting requirement can be translated into a software workflow through effective prompting and iterative development.

The project also highlighted the importance of retaining professional review and judgement even when repetitive processes are automated.

Future enhancements may include:

- Previous-year comparative financial statements;
- Automated Notes to Accounts;
- Ratio and analytical review;
- Import from accounting software;
- Export to Excel, Word and PDF;
- Audit trail of changes;
- Maker-checker approval workflow; and
- AI-based suggestions for ledger classification.

8. Conclusion

The project demonstrates the practical use of Artificial Intelligence in automating a recurring accounting and financial reporting process.

The application enables an Excel-based Trial Balance to be converted into structured financial statements for non-corporate entities, while providing flexibility to modify ledger classifications and control access through user roles.

It therefore combines **automation, standardisation and professional judgement** to improve efficiency and control in financial statement preparation.